venient agency for the exercise of such of the governmental powers of the State as may be entrusted to it. The diversion of waters from the sources of supply for the use of the inhabitants of the State is a proper and legitimate function of the State. This function may be left to private enterprise, subject to regulation by the State; it may be performed directly; or it may be delegated to bodies politic created for that purpose, or to the municipalities of the State. Power to own, maintain and operate public utilities, such as waterworks, gas and electric plants, street railway systems, public markets, and the like is frequently conferred by the States upon their cities and other political subdivisions. For the purpose of carrying on such activities, they are given power to hold and manage personal and real property.

As said by this Court, speaking through Mr. Justice Moody, in *Hunter* v. *Pittsburgh,* 207 U. S. 161, 178, 179:

"The number, nature and duration of the powers conferred upon these corporations and the territory over which they shall be exercised rests in the absolute discretion of the State. Neither their charters, nor any law conferring governmental powers, or vesting in them property to be used for governmental purposes, or authorizing them to hold or manage such property, or exempting them from taxation upon it, constitutes a contract with the State within the meaning of the Federal Constitution. The State, therefore, at its pleasure may modify or withdraw all such powers, may take without compensation such property, hold it itself, or vest it in other agencies, expand or contract the territorial area, unite the whole or a part of it with another municipality, repeal the charter and destroy the corporation. All this may be done, conditionally or unconditionally, with or without the consent of the citizens, or even against their protest. In all these respects the State is supreme, and its legislative body, conforming its action to the state constitu-

tion, may do as it will, unrestrained by any provision of the Constitution of the United States. . . . The power is in the State and those who legislate for the State are alone responsible for any unjust or oppressive exercise of it."

In New Jersey it has been held that within the limits prescribed by the state constitution, the legislature may delegate to municipalities such portion of political power as they may deem expedient, withholding other powers, and may withdraw any part of that which has been delegated. *Van Cleve* v. *Passaic Valley Sewerage Commissioners,* 71 N. J. L. 183, 198.

In the absence of state constitutional provisions safeguarding it to them, municipalities have no inherent right of self government which is beyond the legislative control of the State.[1] A municipality is merely a department of the State, and the State may withhold, grant or withdraw powers and privileges as it sees fit. However great or small its sphere of action, it remains the creature of the State exercising and holding powers and privileges subject to the sovereign will. See *Barnes* v. *District of Columbia,* 91 U. S. 540, 544, 545.

In *Mount Pleasant* v. *Beckwith,* 100 U. S. 514, 524, 525, it was held that where a municipal corporation is legislated out of existence and its territory annexed to other corporations, the latter, unless the legislature otherwise provides, become entitled to all its property and immunities. In the opinion it is said (pp. 524, 525):

"Institutions of the kind, whether called cities, towns, or counties, are the auxiliaries of the State in the important business of municipal rule; but they cannot have the least pretension to sustain their privileges or their existence upon anything like a contract between themselves and the legislature of the State, because there is

[1] Cf. 1 Dillon Municipal Corporations, 5th ed., § 98, p. 154, et seq.

not and cannot be any reciprocity of stipulation between the parties, and for the further reason that their objects and duties are utterly incompatible with everything partaking of the nature of compact."

The power of the State, unrestrained by the contract clause or the Fourteenth Amendment, over the rights and property of cities held and used for "governmental purposes" cannot be questioned. In *Hunter* v. *Pittsburgh, supra,* 179, reference is made to the distinction between property owned by municipal corporations in their public and governmental capacity and that owned by them in their private or proprietary capacity, and decisions of this Court which mention that distinction are referred to.[2] In none of these cases was any power, right or property of a city or other political subdivision held to be protected by the contract clause or the Fourteenth Amendment. This Court has never held that these subdivisions may invoke such restraints upon the power of the State.[3]

In *East Hartford* v. *Hartford Bridge Co.,* 10 How. 511, 533, 534, 536, it appeared that for many years a franchise to operate a ferry over the Connecticut River belonged to the town of Hartford; that upon the incorporation of

[2] *Commissioners* v. *Lucas,* 93 U. S. 108, 115; *Meriwether* v. *Garrett,* 102 U. S. 472, 518, 530; *Essex Public Road Board* v. *Skinkle,* 140 U. S. 334, 342; *New Orleans* v. *New Orleans Water Works Co.,* 142 U. S. 79, 91; *Covington* v. *Kentucky,* 173 U. S. 231, 240; *Worcester* v. *Worcester Consolidated Street Ry. Co.,* 196 U. S. 539, 551; *Monterey* v. *Jacks,* 203 U. S. 360.

[3] Some state cases holding that the state legislature is not restrained by federal constitutional provisions: *St. Louis* v. *Shields,* 52 Mo. 351, 354; *Police Jury of Bossier* v. *Corporation of Shreveport,* 5 La. Ann. 661, 665; *Trustees of Schools* v. *Tatman,* 13 Ill. 27; *Board of Education* v. *Aberdeen,* 56 Miss. 518; *Darlington* v. *City of New York,* 31 N. Y. 164, 193. See contra: *Town of Milwaukee* v. *City of Milwaukee,* 12 Wis. 93, 109; *Grogan* v. *San Francisco,* 18 Cal. 590, 612, 613; *Mount Hope Cemetery* v. *Boston,* 158 Mass. 509, 519; *Spaulding* v. *Andover,* 54 N. H. 38, 56; *Ellerman* v. *McMains,* 30 La. Ann. 190.